Graham’s investment criteria

Seven company-selection tests for the defensive investor

The seven criteria

Criterion	What to check
1. Adequate size	Avoid companies that are too small.
2. Strong finances	Current ratio of at least 200%; assess long-term debt.
3. Earnings stability	Positive earnings in every one of the past 10 years.
4. Dividend record	Uninterrupted dividends for at least 20 years.
5. Earnings growth	EPS growth of at least 33% over 10 years.
6. Reasonable P/E	No more than 15 times average EPS for the past 3 years.
7. Reasonable P/B	A guideline of 1.5 or less; also check P/E multiplied by P/B.

Finances, earnings and price

Company-size thresholds were based on the US market of Graham’s era and should not be applied unchanged to Japanese stocks today.

Criteria 1-5: company quality

Size, finances, earnings and dividend continuity

1. Adequate company size

Avoid overly small companies. For Japanese stocks today, consider business scale, liquidity and financial resilience, rather than relying only on the historical sales threshold.

2. Strong financial condition

Current assets ÷ current liabilities ≥ 2.0. Long-term debt should not exceed net current assets: current assets minus current liabilities. These tests mainly concern industrial companies; utilities have separate criteria.

3. Earnings stability

Positive earnings in every one of the past 10 years. A positive 10-year average is insufficient: check for losses in each individual year.

4. Dividend record

At least 20 years of uninterrupted dividends. This tests continuity, not consecutive dividend increases.

5. Earnings growth

EPS should increase at least 33% over 10 years. Compare 3-year average EPS at the beginning and end to reduce single-year fluctuations.

Criteria 6-7: the price paid

Consider company quality separately from purchase price

6. P/E of 15 or less

Current share price ÷ average EPS for the past 3 years ≤ 15. Averaging can reduce the illusion of cheapness created by a temporarily strong year.

7. P/B guideline of 1.5 or less

Current share price ÷ book value per share ≤ 1.5. However, assess P/E and P/B together. A low P/E can allow a P/B above 1.5.

Combining P/E and P/B

P/E × P/B ≤ 22.5.
For example, P/E of 9 and P/B of 2 produce 18. Looking at P/B alone misses this combined test.

The core idea

Sound finances and stable, growing earnings do not ensure a good investment if the purchase price is too high. Assess both business quality and price.
A good company and a good investment are not the same thing.

Applying the criteria to Japan today

Separate Graham’s tests from additional checks of your own

Original criteria and additional analysis

Graham’s criterion	Additional checks
Current ratio ≥ 200%; long-term debt ≤ net current assets	Equity ratio; operating cash flow and free cash flow
Profits in every year for 10 years	Earnings volatility; one-off gains and losses
10-year EPS growth ≥ 33%	EPS direction over the latest 3-5 years
P/E ≤ 15; P/B guideline ≤ 1.5; P/E × P/B ≤ 22.5	Underlying earnings excluding temporary factors; margin of safety at the current price
At least 20 years of uninterrupted dividends	If dividends are not a priority, explicitly recognize that this changes the criterion.

Relaxing a test is an independent choice

Allowing some loss-making years or dropping the dividend requirement differs from the original seven criteria. Separately assess compliance with the original tests and suitability for your own investment policy.